

LABOUR LAW COMPLIANCE — SMALL BUSINESS OVERVIEW

This document provides a general overview of key labour law compliance requirements applicable to small businesses employing staff in India. This is general informational content, not professional advice.

1. Key Applicable Laws

- Employees' Provident Fund and Miscellaneous Provisions Act, 1952 (EPF) — applicable to establishments with 20 or more employees.
- Employees' State Insurance Act, 1948 (ESI) — applicable to establishments with 10 or more employees (in most states), providing medical and cash benefits.
- Payment of Gratuity Act, 1972 — applicable to establishments with 10 or more employees; gratuity payable after 5 years of continuous service.
- Payment of Bonus Act, 1965 — applicable to establishments with 20 or more employees, mandating minimum bonus payment.
- Shops and Establishments Act (state-specific) — governs working hours, holidays, and conditions of employment for commercial establishments.
- Maternity Benefit Act, 1961 — provides paid maternity leave (26 weeks) to women employees in establishments with 10 or more employees.
- Minimum Wages Act, 1948 — mandates payment of minimum wages as notified by respective state governments.

2. EPF Registration and Contribution

Establishments crossing the 20-employee threshold must register with the Employees' Provident Fund Organisation (EPFO) within the prescribed time.

Both employer and employee contribute 12% of basic wages + dearness allowance towards the PF account (subject to applicable wage ceiling rules).

3. ESI Registration and Contribution

Applicable to employees earning up to INR 21,000 per month (as per current wage ceiling).

Employer contributes 3.25% and employee contributes 0.75% of wages (rates subject to periodic revision) towards ESI.

4. Shops and Establishments Act Registration

Every commercial establishment must register under the respective State Shops and Establishments Act within 30 days of commencing operations.

Governs matters such as working hours, weekly holidays, overtime wages, and conditions for termination of employment.

Registration is typically done through the respective State Labour Department portal.

5. Labour Codes (2020 Reforms)

The Government of India has consolidated 29 central labour laws into four Labour Codes: Code on Wages, Industrial Relations Code, Code on Social Security, and Occupational Safety, Health and Working Conditions Code.

Implementation dates vary by state as these codes are notified and rules are finalized.

6. Penalties for Non-Compliance

Non-registration or delayed PF/ESI contributions can attract penal damages, interest on delayed payment, and prosecution under respective Acts.

Non-compliance with Shops and Establishments Act provisions can result in fines as prescribed by respective state rules.